

Finance

Answer Booklet

Past HSC and trial questions from your Drive, screenshotted exactly as they appeared in the original papers.

SECTION	QUESTIONS			
Section A — Multiple choice	Q1–18	18 questions	18 marks	p. 3
Section B — Short answer	Q19–46	28 questions	95 marks	p. 4
Section C — 20-mark questions	Q47–48	2 questions	40 marks	p. 19

How to use this booklet

- Question numbers match the Question Booklet exactly. Each question header shows the syllabus dot point(s) it tests, and the **Syllabus map** (next page) lists every dot point and the questions that cover it.
- ■ **Marking guidelines** – screenshots of the official NESA or school marking guidelines, criteria and sample answers.
- 📄 **Model answer** (yellow box) – written for this booklet wherever the paper had no answer, following the Business Studies structure (define → explain the link → apply to the business/case study).
- Mark yourself against the criteria first, then compare your answer with the sample.

Syllabus map

Every dot point in the syllabus (as in your notes) and the Question Booklet questions that test it. Tick each one off once you can answer its questions confidently.

CODE	SYLLABUS DOT POINT	QUESTIONS	✓
F1a	Strategic role of financial management	Q47	☐
F1b	Objectives of financial management – profitability, growth, efficiency, liquidity, solvency; short-term and long-term	Q1, Q2, Q19, Q20, Q21, Q34, Q48	☐
F1c	Interdependence (finance) with other key business functions	Q22	☐
F2a	Internal sources of finance – retained profits	Q23	☐
F2b	External sources of finance – debt (short-term: overdraft, commercial bills, factoring; long-term: mortgage, debentures, unsecured notes, leasing); equity (ordinary shares – new issues, rights issues, placements, share purchase plans; private equity)	Q2, Q3, Q4, Q14, Q24, Q25, Q28, Q40	☐
F2c	Financial institutions – banks, investment banks, finance & life insurance companies, superannuation funds, unit trusts, ASX	Q5	☐
F2d	Influence of government – ASIC, company taxation	Q6, Q26	☐
F2e	Global market influences – economic outlook, availability of funds, interest rates	Q7, Q27, Q44	☐
F3a	Planning and implementing – financial needs, budgets, record systems, financial risks, financial controls; debt vs equity financing (adv/disadv); matching terms and source of finance to business purpose	Q8, Q24, Q25, Q28, Q29, Q44	☐
F3b	Monitoring and controlling – cash flow statement, income statement, balance sheet	Q9, Q10, Q30, Q31	☐
F3c	Financial ratios – liquidity (current ratio), gearing (debt to equity), profitability (gross profit, net profit, return on equity), efficiency (expense ratio, accounts receivable turnover)	Q10, Q11, Q12, Q21, Q32, Q33, Q34, Q35	☐
F3d	Comparative ratio analysis – over time, against standards, with similar businesses	Q11, Q12, Q33, Q35, Q36	☐
F3e	Limitations of financial reports – normalised earnings, capitalising expenses, valuing assets, timing issues, debt repayments, notes to the financial statements	Q13, Q37	☐
F3f	Ethical issues related to financial reports	Q38	☐
F4a	Cash flow management – distribution of payments, discounts for early payment, factoring	Q14, Q39, Q40, Q48	☐
F4b	Working capital management – control of current assets (cash, receivables, inventories) and current liabilities (payables, loans, overdrafts); leasing, sale and lease back	Q15, Q39, Q41, Q42, Q47, Q48	☐
F4c	Profitability management – cost controls (fixed and variable, cost centres, expense minimisation); revenue controls (marketing objectives)	Q16, Q43, Q47, Q48	☐
F4d	Global financial management – exchange rates, interest rates, methods of international payment (payment in advance, letter of credit, clean payment, bill of exchange), hedging, derivatives	Q17, Q18, Q27, Q44, Q45, Q46	☐

Section A — Multiple choice

Q	ANSWER	WHY	SOURCE
1	C	Liquidity = ability to meet short-term (under 12 months) financial commitments; long-term = solvency	Roseville Trial 2024 · Q4
2	C	A rights issue adds equity, lowering gearing and improving solvency	Reddam Trial 2023 · Q4
3	D	Offering existing shareholders extra shares at a discount = share purchase plan	Abbotsleigh Trial 2024 · Q3
4	B	Rights issue = new shares offered pro rata to existing holdings; SPP = existing holders buy up to a cap, not pro rata	Roseville Trial 2024 · Q20
5	D	A unit trust pools investors' funds and a manager buys assets (shares, property etc.) on their behalf	SIC Trial 2024 · Q12
6	D	ASIC enforces company and financial services law and consumer protection	2019 HSC · Q16
7	C	An improved outlook lifts demand and low interest rates make borrowing to expand cheaper	2022 HSC · Q13
8	C	Needs first, then budgets, record systems, financial risks and finally controls	2019 HSC · Q14
9	C	The balance sheet shows assets, liabilities and equity at a single point in time	Newington Trial 2023 · Q4
10	C	Total liabilities 150 000 / total equity 200 000 = 0.75 : 1	2019 HSC · Q15
11	C	Current ratio 1700 / 1100 = 1.55: below industry 2:1 but up from 1.25:1	2020 HSC · Q19
12	D	Liabilities 7600 / equity 2750 = 2.76:1: above industry 1:1 and up from 2:1	2020 HSC · Q20
13	C	One-off asset sale proceeds distort profit = normalised earnings issue	2020 HSC · Q14
14	A	Factoring sells receivables for immediate cash, improving cash flow	Loreto Trial 2024 · Q11
15	D	Sale and leaseback converts a fixed asset into cash, improving working capital	2022 HSC · Q18
16	A	Insurance does not change with output (fixed); raw materials rise with output (variable)	Knox Trial 2023 · Q8
17	D	A stronger AUD means Japanese buyers need more yen per dollar, so Australian exports cost them more	Barker Trial 2023 · Q7
18	A	Paying in advance leaves the importer bearing all the risk that the goods are never delivered	Barker Trial 2023 · Q13

“worked out” = the source paper had no answer key, so the answer was worked out for this booklet.

Section B — Short answer

1. Role of financial management

Q19 2023 HSC · Question 24 (b) F1b · Financial objectives

3 marks

MODEL ANSWER

A conflict can occur between the short-term objective of **liquidity** and the long-term objective of **growth**.

Liquidity is the ability to meet short-term debts as they fall due, so the business needs to keep enough cash and current assets available. **Growth** is the ability to increase in size over the long term, which requires large investments in non-current assets such as new premises, equipment or technology.

If the business uses its cash reserves to fund expansion, it may not have enough cash left to pay suppliers, wages and loan repayments, damaging its liquidity and credit rating. However, if it holds too much cash to protect liquidity, it misses investment opportunities and grows more slowly. Management must therefore balance the two objectives – for example, by financing long-term growth with long-term borrowing or equity rather than with working capital.

Q20 Barker Trial 2023 · Question 23 (c) F1b · Financial objectives

2 marks

MARKING GUIDELINES — BARKER TRIAL 2023

(c) Why is efficiency a financial objective?

Criteria	Marks
• Sketches in general terms the importance of financial efficiency	2
• Makes an accurate statement regarding financial efficiency	1
• No valid response	0

Marker's comments:

Stronger responses provided an accurate definition of financial efficiency as the ability of a business to minimise its cost AND manage its assets. It is about achieving maximum profit with the lowest possible level of assets and involves efficient collection of receivables. Weaker responses only stated that efficiency referred to minimising costs, but many gained one mark for accurately stating that this is a financial objective to improve profitability and achieve goals of the business.

■ MARKING GUIDELINES — NEWINGTON TRIAL 2023

- (b) Using the financial information provided, explain why solvency is an important objective for this business.

Criteria	Mark
- Makes clearly evident why solvency is an important objectives for this business - Makes appropriate reference to information from the stimulus - Uses relevant business terms and syllabus concepts	4
- Provides detailed information about why solvency is an important objective - Makes reference to the information in the stimulus - Uses some business terms	3
- Provides general information about why solvency is an important objective - May make some limited reference to the information from the stimulus - Uses some basic business terms	2
Makes a limited statement about solvency	1
No response or factually incorrect response	0

Sample answer:

- Solvency refers to the ability of the business to pay both short-term and long-term liabilities as they fall due – a measure of whether a business is financially stable. This can be measured through the debt-to-equity ratio (total liabilities / total equity). In 2023, the business has a debt-to-equity ratio of 3.22:1, indicating \$3.22 of debt for every \$1 of equity. This is higher than the industry average of 2:1. Solvency is an important objective for this business, as the higher the ratio, the higher the risk and lower the solvency.

Feedback: students sometimes confused liquidity and solvency. Students needed to use ratio analysis to effectively explain why solvency situation.

📌 MODEL ANSWER

Interdependence is the mutual reliance between key business functions to achieve the business's goals. Finance and operations depend on each other:

- Operations depends on finance** – finance provides the funds and budgets operations needs to buy materials, pay production staff, maintain equipment and invest in new technology or larger facilities. For example, a manufacturer cannot install an automated production line unless financial management raises the funds (e.g. through a loan or leasing) and approves the capital budget.
- Finance depends on operations** – operations produces the goods and services that generate revenue, and it is responsible for most of the business's costs. Efficient operations (e.g. just-in-time inventory, reducing waste, economies of scale) lower costs and improve the profitability and liquidity that finance reports and manages. Operations also provides the cost and output data finance needs for budgets and forecasts.

For example, if operations reduces its inventory holding, less cash is tied up in stock, improving the business's working capital. The two functions must therefore coordinate closely for the business to achieve both its operations and financial objectives.

2. Influences on financial management

Q23 Roseville Trial 2023 · Question 22 (a) F2a · Internal finance

2 marks

■ MARKING GUIDELINES — ROSEVILLE TRIAL 2023

22 (a) Define retained profits.

Criteria	Mark
State meaning and identify essential qualities of retained profits.	2
Makes a relevant statement about retained profits.	1

Answers may include:

influences on financial management

□ internal sources of finance – retained profits

- Internal source of finance – Retained earnings refer to the historical profits earned by a company, minus any dividends it paid in the past.

Q24 2019 HSC · Question 22 (c) F3a · Planning & implementing F2b · External finance

3 marks

■ MARKING GUIDELINES — 2019 HSC

Question 22 (c)

Criteria	Marks
• Provides why and/or how equity finance is an disadvantage	3
• Provides characteristics and features of ONE disadvantage of equity financing	2
• Recognises ONE disadvantage of equity financing	1

Sample answer:

A disadvantage associated with using equity financing is that a business uses owner's equity or retained profits to finance its key business functions. Due to this they are unable to claim a tax deduction as no funds are borrowed. As retained profits are re-invested into the business, the investor is unable to invest in other opportunities, which may provide better returns.

■ MARKING GUIDELINES — REDDAM TRIAL 2023

(d) Compare and contrast TWO sources of debt finance used by Local Grocer Pty Ltd.

Outcome: H2.

Criteria	Marks
Clearly demonstrates similarities and differences between TWO sources of debt finance used by Local Grocer Pty Ltd.	3 - 4
Provides a similarity and/or a difference between TWO sources of debt finance used by Local Grocer Pty Ltd.	1 - 2

Answer:

- **Sources of debt finance used by Local Grocer Pty Ltd:** short term debt finance (accounts payable, bank overdraft) needs to be repaid within 1 year as they are current liabilities. Short term debt finance is used to finance current assets such as stock. However, long-term debt finance (mortgage) will take longer than 1 year to repay as the size of the debt is larger and mortgages are non-current liabilities. Long term debt finance is used to fund non-current assets such as the building. Regardless of the timeframe used to repay short- and long-term debts, both types of debt need to be repaid to external providers (creditors) with interest.

🔑 MODEL ANSWER

Government influences the financial management of businesses mainly through **ASIC** and **company taxation**.

- **Australian Securities and Investments Commission (ASIC)** – ASIC is an independent federal body that enforces the Corporations Act. It registers companies and requires them to lodge annual financial reports, and ensures reports are accurate and that directors meet their duties. This influences financial management because businesses must keep accurate record systems, prepare reports to accounting standards and disclose information to investors; breaches can lead to fines or disqualification of directors. By protecting investors, ASIC also increases confidence in financial markets, making it easier for companies to raise finance.
- **Company taxation** – companies pay a flat tax rate on their taxable profit. The tax rate affects the amount of **net profit after tax** available for dividends and **retained profits** (an internal source of finance). A higher tax rate reduces funds for reinvestment and may push businesses towards external finance; financial managers also plan to legally minimise tax (e.g. interest on debt is tax deductible, which can favour debt finance).

Government economic policy (e.g. interest rates affecting the cost of borrowing) can also influence financial decisions.

■ MARKING GUIDELINES — INDEPENDENT TRIAL 2024

Question 23(c)

Criteria	Marks
• Relates cause and effect; makes the relationships evident of TWO global market influences on the financial management of this business	4
• Relates cause and effect; makes the relationships evident of ONE global market influence on the financial management of this business and identifies another influence	3
• Relates cause and effect; makes the relationships evident of ONE global market influence on the financial management of this business or identifies TWO influences	2
• Identifies ONE global influence on the financial management of this business	1

Answer may include:

- Global economic outlook
- Availability of funds
- Interest rates
- Exchange rates

3. Processes of financial management

■ MARKING GUIDELINES — 2019 HSC

Question 22 (b)

Criteria	Marks
• Provides why and/or how debt finance is an advantage	3
• Provides characteristics and features of ONE advantage of debt financing	2
• Recognises ONE advantage of debt financing	1

Sample answer:

Debt financing can provide advantages to a business. An advantage is that interest, fees and charges are tax deductible as they are expenses of the business. By using debt financing, the business pays less in tax, which may lead to greater profits.

■ MARKING GUIDELINES — SIC TRIAL 2024

(c) Describe the importance of the planning and implementing process for this business. 4

Criteria	Mark
Provides detailed characteristics and features of the importance of planning and implementation for this business	4
Provides characteristics and features of the importance of planning and implementation for this business	3
Sketches in general terms planning and implementation for this business	2
Provides some relevant information.	1

Suggested answer

This business needs to consider the financial needs of the business as it is looking to invest in new manufacturing. From where will they source this funding? The business needs to also budget to ensure they have covered all costs. They need to assess risks such as theft of goods. They need to monitor performance and control spending by comparing forecast revenue and expenses to actual and take corrective action where necessary. They should also have clear record systems to ensure efficiency and ease of controlling.

📌 MODEL ANSWER

A **cash flow statement** shows the **movement of cash into and out of the business over a period of time**, grouped into operating, investing and financing activities. Its purpose is to show whether the business has enough cash to **pay its debts as they fall due (liquidity)**, to identify periods of cash shortfall or surplus, and to help management plan and make decisions about borrowing, investing and the timing of payments.

■ MARKING GUIDELINES — SIC TRIAL 2024

(a) Distinguish between a balance sheet and an income statement. 2

Criteria	Mark
Clear definition of a Balance sheet and Income statement	2
Provides some relevant information.	1

Suggested answer

A balance sheet is a snapshot in time, of a business's assets (own) and liabilities (owe) and equity. Whereas an income statement is financial data recorded over a period (month, quarter or year) including a business's revenue, expense and profit.

■ MARKING GUIDELINES — 2020 HSC

Question 24 (a)

Criteria	Marks
Correctly calculates the accounts receivable turnover ratio for this business	1

Sample answer:

$(\text{Sales} \div \text{accounts receivable}) = 225\,000 \div 30\,000 = 7.5$ (times per year)

OR

$365 \div 7.5 = 49$ (days)

■ MARKING GUIDELINES — 2020 HSC

Question 24 (b)

Criteria	Marks
Correctly calculates and interprets the expense ratio for this business	2
Correctly calculates the expense ratio for this business or correctly interprets the expense ratio	1

Sample answer:

$(\text{Total expenses} \div \text{sales}) = 18\,500 \div 225\,000 = 8.2\%$

For every \$1 the business makes in sales the business is spending 8 cents on expenses.

The ratio compares total expenses with total sales and indicates that for every \$1 of sales, 8.2% (or 8.2 cents) is absorbed by expenses. This business is below the industry standard of 10%.

■ MARKING GUIDELINES — 2022 HSC

Question 23 (c)

Criteria	Marks
Provides a reason for gearing being an important consideration for the lender to this business	3
Demonstrates an understanding of a reason the level of gearing is an important consideration	2
Provides some relevant information about gearing	1

Sample answer:

Gearing refers to the ability of a business to meet its financial obligations in the longer term. It can help the lender to this business understand their risk and determine the ability of the business to meet its loan repayments, helping them decide whether to lend the business money, or not. In this case the business gearing would indicate they can repay their debt.

 MODEL ANSWER

Gross profit ratio (65% → 70%) – gross profit ÷ sales shows how much of each sales dollar remains after cost of goods sold. The rise suggests cost of goods sold is falling relative to sales: with more stores the business can buy stock in larger quantities (bulk discounts / economies of scale) and, by selling through its own luxury stores, can charge premium prices and keep the margin a retailer would otherwise take.

Net profit ratio (21% → 18%) – net profit ÷ sales falls even though gross profit improves, so **operating expenses are rising faster than sales**. The main causes are the **interest on the US\$30 million loan** (a financial expense), plus the running costs of the new stores – wages, utilities, insurance, maintenance and depreciation of the properties – and any losses from a falling Australian dollar on US-dollar repayments.

Gearing – debt to equity (0.85:1 → 1.5:1) – the loan adds to total liabilities while equity stays about the same, so the business moves from being funded mostly by owners to having **\$1.50 of debt for every \$1 of equity**. It becomes highly geared, which increases financial risk (large fixed interest commitments, lower solvency), although the extra funds could increase future returns if the new stores earn more than the cost of the debt.

■ **MARKING GUIDELINES — 2020 HSC**

Question 24 (d)

Criteria	Marks
• Provides an explanation of how TWO ways of comparative ratio analysis can be used to assess the financial position of the business	4
• Sketches in general terms how TWO ways of comparative ratio analysis can be used to assess the financial position of the business	3
• Sketches in general terms how comparative ratio analysis can be used to assess the financial position of the business	2
• Sketches comparative ratio analysis in general terms	1

Sample answer:

First method is over different time periods. This business could be comparing financial data within different years or financial periods to analyse liquidity, gearing, profitability and efficiency and to understand how these have changed and put strategies in place to address any issues.

The second way is against similar businesses. This business could see the financial position of the competition to understand if their expenses are too high compared to competitors. If this is the case, then the business could change their supplier to a cheaper one. Also, if the competitor has consistently made sales, even during slow periods, the business can analyse this to understand what they are doing wrong and hence make adjustments.

MODEL ANSWER

Financial reports are useful but can give a misleading picture of a business's performance.

1. Capitalising expenses – this occurs when a business records an expense (e.g. research and development, advertising or repairs) as an **asset** on the balance sheet instead of an expense in the income statement. This **reduces reported expenses, overstating profit** and inflating the value of assets. Stakeholders such as investors may therefore believe the business is more profitable and financially stronger than it really is.

2. Valuing assets – assets are recorded at historical cost less depreciation, but their true market value may be very different. Intangible assets such as **goodwill** and brand names are especially difficult to value, and managers can use estimates that suit them. If assets are overvalued, the business appears to have more equity and lower gearing than it actually does, which can mislead lenders and shareholders.

(Other acceptable limitations: **normalised earnings** – removing one-off items to smooth profit; **timing issues** – reports are a snapshot at one date and revenue/expenses may be recorded in a different period; **debt repayments** – the balance sheet may not show how long debts have been outstanding or when they are due; **notes to the financial statements** – important information may be hidden in lengthy, technical notes that most users do not read.)

MARKING GUIDELINES — 2019 HSC

Question 22 (a)

Criteria	Marks
• Sketches in general terms ONE ethical issue related to the preparation of financial reports	2
• Recognises ONE ethical issue related to the preparation of financial reports	1

Sample answer:

An ethical issue related to the preparation of financial reports may be that businesses overestimate their revenue and understate their expenditure to give a false impression of their profitability. This false impression gives an inaccurate picture and may encourage investors to invest in a business which appears to be in a stronger financial position than it actually is.

4. Financial management strategies

Q39

2020 HSC · Question 24 (c)

F4a · Cash flow management

F4b · Working capital management

3 marks

■ MARKING GUIDELINES — 2020 HSC

Question 24 (c)

Criteria	Marks
• Provides reasons in favour of ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable	3
• Sketches in general terms ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable	2
• Names ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable	1

Sample answer:

Discounts for early payments. This is where the business provides a discount to customers if they pay early to encourage faster debt collection. This could be in line with penalties for late payments to encourage this efficiency.

Q40

2014 HSC Q24(c)

F4a · Cash flow management

F2b · External finance

4 marks

MODEL ANSWER

Factoring is the sale of a business's **accounts receivable** to a specialist finance company (factor) at a discount, in return for immediate cash. The factor then collects the debts from customers.

Advantages - It provides **immediate cash**, improving cash flow and liquidity so the business can pay suppliers, wages and other short-term debts on time. - It reduces the time and administration costs of collecting debts, and (with non-recourse factoring) transfers the risk of bad debts to the factor. - It is a flexible source of short-term finance that grows as sales grow and does not require the business to take on a loan.

Disadvantages - It is **expensive** – the business receives less than the full value of its receivables (the factor's discount and fees), which reduces profit. - The business loses control over debt collection; aggressive collection by the factor may damage customer relationships. - Customers may interpret factoring as a sign the business is having cash flow problems.

Factoring is therefore useful for businesses that have large amounts of cash tied up in receivables and need to improve cash flow quickly, but its cost means it should be weighed against alternatives such as tightening credit policy or offering discounts for early payment.

■ MARKING GUIDELINES — BARKER TRIAL 2024

(b) How could *Acme Kitchenware* improve their level of working capital?

Criteria	Marks
- Clearly relates cause and effect between one working capital management strategy and the level of working capital - Integrates financial data from the stimulus	4
- Provides characteristics and features of one working capital management strategy - Uses the stimulus	3
- Sketches in general terms one working capital management strategy - Makes reference to the stimulus	2
- Makes an accurate statement regarding working capital management - May or may not make reference to the stimulus	1

Sample answer:

The business could increase their level of working capital (CA-CL) by increasing the value of their current assets and thus improving their liquidity closer to a ratio of 2:1. AK could sell non-current assets such as vehicles to the value of x and then lease back similar assets to use.

This would provide a cash injection from the sale, increasing current assets and therefore increasing the value of working capital.

■ MARKING CRITERIA — KNOX TRIAL 2023

- c. Analyse the use of sale and leaseback as a financial management strategy for this business.

5

Criteria	Marks
Comprehensively draws out and relates implications on the use of sale and leaseback as a financial management strategy for this business.	5
Draws out and relates implications on the use of sale and leaseback as a financial management strategy for this business.	3-4
Provides characteristics and features of the use of sale and leaseback.	2
Limited information.	1

🔑 MODEL ANSWER (WRITTEN FOR THIS BOOKLET — THE MARKING GUIDELINES GIVE NO SAMPLE ANSWER)

Sale and leaseback is a working capital strategy where a business sells a non-current asset (here, the \$320 000 building) to a financier and then leases it back, so it keeps using the asset while releasing the cash tied up in it.

Current position (from the data): - Current ratio = $\$240\,000 \div \$230\,000 = 1.04 : 1$ – weak liquidity, with a large \$130 000 bank overdraft. - Debt to equity = total liabilities $\$530\,000 \div$ total equity $\$170\,000 = 3.12 : 1$, well above the industry average of $2 : 1$ – the business is **highly geared** and financially risky.

Benefits for Playsmart: - Selling the building would raise about **\$320 000 of cash**, greatly improving liquidity. - The cash could repay the \$300 000 mortgage, reducing total liabilities to about \$230 000 and lowering debt to equity to about **1.35 : 1** (below the industry average), or clear the expensive overdraft, improving the current ratio. Interest expenses would fall. - Lease payments are a tax-deductible expense, and the business keeps operating from the same premises without disruption.

Drawbacks: - The business loses ownership of the building and any future capital gains, and no longer has it as security for future borrowing. - Ongoing **lease payments** increase expenses and may cost more over time than the mortgage interest, reducing profitability; the business also depends on the landlord renewing the lease.

Judgement: given its very high gearing and weak liquidity, sale and leaseback is an effective strategy for Playsmart in the short to medium term, provided the lease terms are affordable and the funds are used to reduce debt rather than to cover ongoing losses.

■ MARKING GUIDELINES — ROSEVILLE TRIAL 2023

(d) Recommend TWO profitability management strategies that this business could use to improve its profitability result.

Criteria	Mark
Gives reasons in favour of TWO profitability management strategies that this business could use to improve its profitability result.	4
Gives reasons in favour of ONE profitability management strategy that this business could use to improve its profitability result but only provides characteristics and features of another.	3
Gives reasons in favour of ONE profitability management strategy that this business could use to improve its profitability result OR sketches in general terms TWO strategies this business could use to improve its profitability.	2
sketches in general terms ONE strategy this business could use to improve its profitability.	1

Answers could include

financial management strategies

profitability management

- cost controls – fixed and variable, cost centres, expense minimisation
- revenue controls – marketing objectives

- Given their relatively poor CoGS performance relative to industry average, this business could look at **expense minimisation** strategies associated such as buying in bulk to receive greater discounts on purchases or alternatively with switching suppliers to a cheaper one as this looks like a poor performing area of their income statement.
- Alternatively, if they are seeking a more premium differentiated pricing position, then then need to generate a stronger gross margin by being able to successfully charge a higher price for the pancakes being sold. The could use their **marketing objectives** such as alternating their positioning, pricing and product strategies to reposition their product offering and successfully increase their margin to better recover the costs the high quality ingredients being used (reflected in the higher CoGS result).

 MODEL ANSWER

A key financial risk is **exchange rate (currency) risk**. The loan and its interest must be repaid in US dollars, but the handbag business earns its revenue in Australian dollars. If the Australian dollar **depreciates** against the US dollar (e.g. from US\$0.70 to US\$0.60), the business needs more Australian dollars to make each repayment. This raises the real cost of the loan, increases expenses and reduces net profit and liquidity. (Interest rates in the USA could also rise, increasing interest expenses.) The business could manage this risk by **hedging**, e.g. taking out a forward exchange contract to lock in the exchange rate for future repayments.

 MODEL ANSWER

The business is exposed to **exchange rate risk** because it pays manufacturing costs in China and sells to French wholesalers who pay later, often in euros. A change in the value of the Australian dollar could reduce the Australian-dollar value of its revenue or increase its costs. It can protect itself through **hedging**:

- **Forward exchange contracts** – a derivative in which the business agrees with a bank today to exchange a set amount of currency at a fixed exchange rate on a future date. When the French wholesalers pay, the business converts the euros at the locked-in rate, so it knows exactly how many Australian dollars it will receive, regardless of movements in the AUD.
- **Options contracts** – give the business the right, but not the obligation, to exchange currency at a set rate. It is protected if the rate moves against it but can still benefit if the rate moves in its favour (at the cost of a premium).
- **Swaps** – exchanging one currency for another and reversing the transaction at a later date at an agreed rate.
- **Natural hedging** – for example, invoicing in Australian dollars (so the exchange rate risk passes to the wholesaler) or matching costs and revenues in the same currency.

Hedging reduces uncertainty and protects profit margins, although derivatives involve fees and the business may miss out on gains from favourable exchange rate movements.

MODEL ANSWER

The importer's main financial risk is paying for computers that are not delivered, are delivered late or are not as ordered – and having little legal recourse against an overseas supplier.

The most effective method is a clean payment (open account) – the Chinese exporter ships the goods and sends the shipping documents directly to the importer, who pays only **after receiving (and inspecting) the goods**, usually within an agreed credit period. - It **minimises the importer's risk** because it never pays for goods it has not received. - It also **improves the importer's cash flow**, because payment can be made after the computers have been sold to Australian customers. - Clean payment is the opposite of payment in advance, which carries the highest risk for an importer because it pays before the goods are even shipped.

However, clean payment places all the risk on the exporter, so a supplier will usually only agree to it once a relationship of trust is established. If the Chinese supplier will not accept it, the best alternative is a **documentary letter of credit**: the importer's bank guarantees payment to the exporter only when documents proving the goods were shipped according to the contract are presented. This protects both parties and still greatly reduces the importer's risk.

The importer could also reduce exchange rate risk on the payment by hedging (e.g. a forward exchange contract).

Section C — 20-mark questions

Q47

2017 HSC Q25

F1a · Strategic role of finance

F4c · Profitability management

M3f · Implement, monitor & control

20 marks

MODEL RESPONSE PLAN

Model business report (no official marking guidelines were in your Drive for this question).

To: Directors, Sportyz Goodz Ltd **From:** Business Consultant **Re:** Improving financial performance

Introduction

Sportyz Goodz listed on the ASX in 2013 and expanded internationally. Since 2014 both sales and profit have fallen steadily, competition is increasing and the directors are concerned about product positioning. This report outlines a strategic role of financial management, recommends two strategies to improve financial performance and explains the importance of monitoring and controlling the marketing strategy.

1. A strategic role of financial management

The strategic role of financial management is to plan, allocate and control the business's financial resources so it achieves its long-term goals – here, **operating for the benefit of shareholders in the long term**. This means maximising long-term **profitability** and shareholder value while maintaining **liquidity** and **solvency**. For Sportyz Goodz, financial management should analyse why profit is falling (e.g. using gross and net profit ratios and the expense ratio), set budgets that direct funds to the most profitable activities, and ensure the international expansion is financially sustainable.

2. Two strategies to improve financial performance

- **Profitability management – cost controls.** Profit is falling faster than sales, suggesting rising expenses. Sportyz should use **cost centres** (e.g. each store or country) to identify unprofitable areas, **minimise expenses** (renegotiate supplier and lease terms, reduce overheads, cut underperforming stores) and review fixed and variable costs. This improves the net profit ratio.
- **Profitability management – revenue controls (marketing objectives).** Revenue can be increased by adjusting the sales mix towards higher-margin products, reviewing pricing and targeting the most profitable segments, which also addresses the positioning concern. (Also acceptable: working capital management – inventory control to avoid stock write-downs, and sale and leaseback of premises to improve liquidity.)

3. Importance of monitoring and controlling the marketing strategy

Monitoring and controlling is the final stage of the marketing process: developing a **financial forecast**, **comparing actual and planned results** and **revising the marketing strategy**. The falling sales from 2014 to 2017 show that the current strategy is not meeting its objectives. By comparing actual sales, market share and profit by product and market against forecasts, Sportyz can identify which products or countries are underperforming and why (e.g. poor positioning against competitors), then revise its positioning, pricing or promotion before sales fall further. It also links marketing to financial management, ensuring marketing spending produces a return for shareholders.

Recommendations

1. Introduce cost centres and an expense-minimisation program to lift the net profit ratio.
2. Use revenue controls – focus on high-margin products and profitable segments.
3. Implement regular monitoring of actual vs planned sales and reposition the brand where results fall short.

Conclusion

Stronger financial planning and control, supported by active monitoring of the marketing strategy, will help Sportyz Goodz reverse its falling sales and profit and deliver long-term value to shareholders.

■ MARKING GUIDELINES — 2020 HSC

Question 26

Criteria	Marks
- Makes a judgement about the financial management strategies used to achieve profit and growth objectives - Applies relevant case study/studies and contemporary business issues - Presents a sustained, logical and cohesive response and communicates clearly using relevant business terminology and concepts	17–20
- Clearly explains the relationship between financial management strategies and profit and growth objectives - Uses relevant case study/studies and contemporary business issues - Presents a logical and cohesive response using relevant business terminology and concepts	13–16
- Identifies the relationship between financial management strategies AND profit and/or growth objectives - Makes reference to case study/studies and/or contemporary business issues - Communicates using relevant business terminology and concepts	9–12
- Sketches in general terms financial management strategies and/or profit and growth objectives - May make reference to case study/studies and/or contemporary business issues - Communicates using some business terminology and concepts	5–8
- Makes limited reference to financial management - May identify case study/studies - Uses basic business terminology	1–4

Answers could include:*Role of financial management*

- Objectives of financial management
 - profitability, growth, efficiency, liquidity, solvency
 - short term and long term

Financial management strategies

- cash-flow management
 - cash-flow statements
 - distribution of payments, discounts for early payment, factoring
- working capital management
 - control of current assets – cash, receivables, inventories
 - control of current liabilities – payables, loans, overdrafts
 - strategies – leasing, sale and lease back
- profitability management
 - cost controls – fixed and variable, cost centres, expense minimisation
 - revenue controls – marketing objectives

- global financial management
 - exchange rates
 - interest rates
 - methods of international payment – payment in advance, letter of credit, clean payment, bill of exchange
 - hedging
 - derivatives.
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